

PAYMENT RECOMMENDATION - LETTER

Hope River

251A Main Highway
Ellerslie
AUCKLAND
1060

Dear Owen,

Gilmours Central Seismic Upgrade
Project Number S-02314
Payment Recommendation No. 1 Rev No. 0

Please find enclosed our recommendation for Progress Payment No. 1 for the above project.

This interim recommendation for payment is based on the cumulative value of work done, and is **only for payment on account. This is not binding nor conclusive of acceptance of the work.**

DMP inspected the project based on the photos provided by Kynoch Construction on 20 August 2025 to assess the value of works completed under the contract; as a result we advise the following:-

Cumulative Value:

1. Net Monthly Value of Work Complete		\$61,728.65
2. GST @ 15%		\$9,259.30
3. Recommended Progress Payment	Total	<u>\$70,987.95</u>

The split for LL and OP is as follows: (excluding Goods and Services Tax)

Landlord :	61,591.24
Operator :	137.41

We trust this satisfies your current requirements but please contact us if you would like to discuss any of the contents in further detail.

PREPARED BY:



Mcinnes Taljaard
Senior Quantity Surveyor

APPROVED BY:



Zane Shrosbree
Director

GILMOURS CENTRAL SEISMIC UPGRADE



Payment Recommendation No. 1 Rev No. 0

PAYMENT RECOMMENDATION - SUMMARY

Principal:	Foodstuffs North Island	Claim Received:	29 August 2025
Engineer to the Contract:	Owen Sanders	Provisional Payment Schedule Due:	9 September 2025
Principal / Main Contractor:	Kynoch Construction	Payment Schedule Due:	16 September 2025
Payment Claim / Schedule:	1	Payment Due:	20 September 2025

(In accordance with the Construction Contracts Act 2002)

Contract Sum:	4,172,492.92
Adjustment to Provisional Sums:	0.00
Approved Variation Orders:	0.00
Adjusted Contract Sum:	4,172,492.92

Value of Works Claimed to date	70,317.39
Adjustments	(1,730.00)
Total Value of Works Recommended for Payment	68,587.39

Less Retentions :			
	10%	of total works recommended	(68,587.39)
	5%	of total works recommended	0.00
	1.75%	of total works recommended	0.00

Total Payment to Date	61,728.65
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Less Previously Certified	0.00
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Recommended Payment to Contractor (Excluding GST)	61,728.65
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GST	15%	9,259.30
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Total (Including GST)	70,987.95
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This Recommendation for Progress Payment is prepared solely to effect payment due under the Conditions of Contract and should not be used or relied upon by any other party or for any other purpose.

The Recommendation for Progress Payment assumes that all work has been executed to the quality standards presented in the Contract Document, except where otherwise notified in writing by Engineer to Contract as being defective.

GILMOURS CENTRAL SEISMIC UPGRADE

Payment Recommendation No. 1 Rev No. 0

PAYMENT RECOMMENDATION - CONTRACT WORKS

Description	Contract Sum	Contractor Claim (To date)	Total Recommended	%	Recommended Variance to Claim	Previously Paid	Recommended This Period	Comments
	1	2	3		4 = 3 - 2	5	6 = 3 - 5	
Demolition								
Demolition existing structure	120,480.00	-	-	0%	-		-	
Removal and reinstatement of PIR	27,944.00	-	-	0%	-		-	
Removal and reinstatement of chiller units	6,490.25	-	-	0%	-		-	
Temp lighting to birdcage - setup	14,297.75	-	-	0%	-		-	
Bulk Excavation	64,504.78	-	-	0%	-		-	
Drainage								
Relocation of stormwater, sewer and water	156,773.92	-	-	0%	-		-	
Car Park & Yard								
Concrete driveway	30,800.00	-	-	0%	-		-	
Asphalt prep and hotmix	24,860.00	-	-	0%	-		-	
Substructure								
General substructure works	256,840.78	-	-	0%	-		-	
Pile drilling	62,257.00	-	-	0%	-		-	
Reinforcing steel	104,865.35	-	-	0%	-		-	
Frame								
Steel	1,184,000.00	-	-	0%	-		-	
External Walls & Exterior Finishes								
Works to external walls	47,537.47	-	-	0%	-		-	
Internal Partitions & Doors								
Redecoration	18,344.00	-	-	0%	-		-	
Ceiling Finishes								
Suspended ceilings	68,026.70	-	-	0%	-		-	
HVAC								
Removal and reinstatement of aircon units	14,298.00	-	-	0%	-		-	
Fire Protection								
Fire Sprinkler Alteration	200,000.00	-	-	0%	-		-	
Preliminaries								
Temp fencing and hoarding	250,000.00	6,250.00	6,250.00	3%	-		6,250.00	As per progress noted on site
Temp fencing and hoarding	40,160.00	-	-	0%	-		-	
Scaffolding and Encapsulation	893,343.50	-	-	0%	-		-	
Ply barriers to birdcage	22,500.00	-	-	0%	-		-	
Temp ablation blocks	54,865.97	-	-	0%	-		-	
Temp office	37,607.20	-	-	0%	-		-	
Temp driveway	50,565.00	35,395.50	35,395.50	70%	-		35,395.50	As per progress noted on site
Temp lighting to birdcage - setup	21,131.25	-	-	0%	-		-	
Margin								
Margin	250,000.00	6,250.00	6,250.00	3%	-		6,250.00	As per progress noted on site
SUB TOTAL CONTRACT WORKS	4,022,492.92	47,895.50	47,895.50	1%	-	-	47,895.50	
Materials Onsite			-		-		-	
Materials Offsite			-		-		-	
SUB TOTAL CONTRACT WORKS	4,022,492.92	47,895.50	47,895.50	1%	-	-	47,895.50	
Provisional Sums	150,000.00	7,114.38	5,384.38	4%	(1,730.00)		5,384.38	
Variations		15,307.51	15,307.51		-		15,307.51	
SUB TOTAL PROVISIONAL SUMS, VARIATIONS & CONTRACT WORKS	4,172,492.92	70,317.39	68,587.39	2%	(1,730.00)	-	68,587.39	
Retentions		(3,515.87)	(6,858.74)		(3,342.87)		(6,858.74)	
TOTAL	4,172,492.92	66,801.52	61,728.65	1%	(5,072.87)	-	61,728.65	

GILMOURS CENTRAL SEISMIC UPGRADE

Payment Recommendation No. 1 Rev No. 0

PAYMENT RECOMMENDATION - WORK BREAKDOWN STRUCTURE

Description	Contract Sum	Contractor Claim (To date)	Total Recommended	%	Recommended Variance to Claim	Previously Paid	Recommended This Period	Comments
	1	2	3		4 = 3 - 2	5	6 = 3 - 5	
Demolition	169,212.00	-	-	0%	-	-	-	
Bulk Excavation	64,504.78	-	-	0%	-	-	-	
Site Preparation and Clearance	-	-	-	0%	-	-	-	
Drainage	156,773.92	-	-	0%	-	-	-	
Car Park & Yard	55,660.00	-	-	0%	-	-	-	
Landscaping	-	-	-	0%	-	-	-	
Roadworks outside Boundary	-	-	-	0%	-	-	-	
Fuel Station	-	-	-	0%	-	-	-	
Site Works Other	-	-	-	0%	-	-	-	
Car Park & Yard Fitout	-	-	-	0%	-	-	-	
Utilities Siteworks	-	-	-	0%	-	-	-	
EV Charging Station	-	-	-	0%	-	-	-	
Substructure	423,963.13	-	-	0%	-	-	-	
Frame	1,184,000.00	-	-	0%	-	-	-	
Internal Fitout Steel Support Systems	-	-	-	0%	-	-	-	
Upper Floors and Stairs	-	-	-	0%	-	-	-	
Roof	-	-	-	0%	-	-	-	
Plant Platforms, Screening & Access Ways	-	-	-	0%	-	-	-	
External Walls & Exterior Finishes	47,537.47	-	-	0%	-	-	-	
External Windows & Doors	-	-	-	0%	-	-	-	
BWIC with Services	-	-	-	0%	-	-	-	
Concrete set downs, wear slabs, trenching	-	-	-	0%	-	-	-	
Building Other (Cold Shell)	-	-	-	0%	-	-	-	
Lifts and Escalators	-	-	-	0%	-	-	-	
Internal Partitions & Doors	18,344.00	-	-	0%	-	-	-	
Internal Wall Finishes	-	-	-	0%	-	-	-	
Internal Wall Protection	-	-	-	0%	-	-	-	
External Lighting	-	-	-	0%	-	-	-	
Internal Lighting	-	-	-	0%	-	-	-	
Generator	-	-	-	0%	-	-	-	
Transformer	-	-	-	0%	-	-	-	
CCTV	-	-	-	0%	-	-	-	
MATV	-	-	-	0%	-	-	-	
PA System	-	-	-	0%	-	-	-	
Phone & Data Cabling	-	-	-	0%	-	-	-	
Security System	-	-	-	0%	-	-	-	
Ceiling Finishes	68,026.70	-	-	0%	-	-	-	
Floor Finishes	-	-	-	0%	-	-	-	
Specialist Floor Finishes	-	-	-	0%	-	-	-	
Power	-	-	-	0%	-	-	-	
Plumbing and Gas Fitting	-	-	-	0%	-	-	-	
HVAC	14,298.00	-	-	0%	-	-	-	
Fire Protection	200,000.00	-	-	0%	-	-	-	
Signage	-	-	-	0%	-	-	-	
Refrigeration Plant & Installation	-	-	-	0%	-	-	-	
Timber Joinery	-	-	-	0%	-	-	-	
Metalwork	-	-	-	0%	-	-	-	
Solar Panel	-	-	-	0%	-	-	-	
Building Fit-out Other	-	-	-	0%	-	-	-	
Preliminaries	1,370,172.92	41,645.50	41,645.50	3%	-	-	41,645.50	
Margin	250,000.00	6,250.00	6,250.00	3%	-	-	6,250.00	
SUB TOTAL CONTRACT WORKS	4,022,492.92	47,895.50	47,895.50	1%	-	-	47,895.50	
Materials Onsite	-	-	-	0%	-	-	-	
Materials Offsite	-	-	-	0%	-	-	-	
SUB TOTAL CONTRACT WORKS	4,022,492.92	47,895.50	47,895.50	1%	-	-	47,895.50	
Provisional Sums	150,000.00	7,114.38	5,384.38	4%	(1,730.00)	-	5,384.38	
Variations	-	15,307.51	15,307.51	-	-	-	15,307.51	
SUB TOTAL PROVISIONAL SUMS, VARIATIONS & CONTRACT WORKS	4,172,492.92	70,317.39	68,587.39	2%	(1,730.00)	-	68,587.39	
Retentions	-	(3,515.87)	(6,858.74)	-	(3,342.87)	-	(6,858.74)	
TOTAL	4,172,492.92	66,801.52	61,728.65	1%	(5,072.87)	-	61,728.65	

GILMOURS CENTRAL SEISMIC UPGRADE

Payment Recommendation No. 1 Rev No. 0



PAYMENT RECOMMENDATION - PROVISIONAL SUMS

PS No.	Description	Contract Sum	LL / OP	Trade	Contractor Claim (To date)	Total Recommended	%	Recommended Variance to Claim	Previously paid	Recommended This Period	Comments
PS 1	Removal and reinstatement of fence	15,000.00	LL	Car Park & Yard	7,114.38	5,384.38	36%	(1,730.00)	-	5,384.38	As per info provided and works complete - on account await clarification of works and hourly rate from Site QS: certify 86.5 hours x \$40/h as discussed with site QS until rate can be agreed
PS 2	Carpentry General	70,000.00	LL	Internal Partitions & Doors	-	-	0%	-	-	-	
PS 3	Remedial works to interior walls	25,000.00	LL	Internal Wall Finishes	-	-	0%	-	-	-	
PS 4	Services	40,000.00	LL	Power	-	-	0%	-	-	-	
	TOTAL	150,000			7,114	5,384		(1,730)	0	5,384	

Provisional Sum key:

Type 1: Costs Closed Out

Type 2: Large Risk Items

Type 3: Contingencies

GILMOURS CENTRAL SEISMIC UPGRADE

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PAYMENT RECOMMENDATION - VARIATIONS

CI / PMI No.	Description	Contractor's Submission	LL / OP	Trade	Contractor Claim (To date)	Total Recommended	%	Recommended Variance to Claim	Previously paid	Recommended This Period	Comments
	Contract Instructions										
CI 1	Birdnetting in ambient area	11,169.55	OP	Ceiling Finishes	-	-	0%	-	-	-	
CI 2	Manawatu security fencing	10,069.49	LL	Car Park & Yard	10,069.49	10,069.49	100%	-	-	10,069.49	On account await breakdown from subcontractor as requested from site QS
CI 3	Cost transfer from extension contract	194,158.11	LL	Frame	5,238.02	5,238.02	3%	-	-	5,238.02	VO CLOSED OUT - Contractor to update overall claim and remove birdnetting
	Site Instructions, etc.										
SI 1	TBC	-			-	-	0%	-	-	-	
SI 2	TBC	-			-	-	0%	-	-	-	
SI 3	TBC	-			-	-	0%	-	-	-	
	TOTAL	215,397			15,308	15,308		0	0	15,308	

Variation key:

Type 1: No Costs Applicable

Type 2: Approved Variations

Type 3: Variations submitted to FSNI for internal approval

GILMOURS CENTRAL SEISMIC UPGRADE

Payment Recommendation No. 1 Rev No. 0

PAYMENT RECOMMENDATION - SAP RECONCILLIATION

WBS	Description	Contract	Cumulative Recommended (LL + OP)	Contract Works (LL)	Contract Provisional Sum's (LL)	Total Recommended (LL)	Paid to Date (LL)	Recommended this Claim (LL)	Contract (OP)	Contract Provisional Sum's (OP)	Total Recommended (OP)	Paid to Date (OP)	Recommended this Claim (OP)
04-01	Demolition	169,212.00	-	161,712.00	-	-		-	7,500.00	-	-	-	-
04-02	Bulk Excavation	64,504.78	-	64,504.78	-	-		-	-	-	-	-	-
04-03	Site Preparation and Clearance	-	-	-	-	-		-	-	-	-	-	-
04-04	Drainage	156,773.92	-	156,773.92	-	-		-	-	-	-	-	-
04-05	Car Park & Yard	70,660.00	15,453.87	55,660.00	15,000.00	15,453.87		15,453.87	-	-	-	-	-
04-06	Landscaping	-	-	-	-	-		-	-	-	-	-	-
04-07	Roadworks outside Boundary	-	-	-	-	-		-	-	-	-	-	-
04-08	Fuel Station	-	-	-	-	-		-	-	-	-	-	-
04-09	Site Works Other	-	-	-	-	-		-	-	-	-	-	-
04-10	Car Park & Yard Fitout	-	-	-	-	-		-	-	-	-	-	-
04-11	Utilities Siteworks	-	-	-	-	-		-	-	-	-	-	-
04-12	EV Charging Station	-	-	-	-	-		-	-	-	-	-	-
	Site works Total	461,150.70	15,453.87	438,650.70	15,000.00	15,453.87		15,453.87	7,500.00	-	-	-	-
05-01	Substructure	423,963.13	-	423,963.13	-	-		-	-	-	-	-	-
05-02	Frame	1,184,000.00	5,238.02	1,184,000.00	-	5,238.02		5,238.02	-	-	-	-	-
05-03	Internal Fitout Steel Support Systems	-	-	-	-	-		-	-	-	-	-	-
05-04	Upper Floors and Stairs	-	-	-	-	-		-	-	-	-	-	-
05-05	Roof	-	-	-	-	-		-	-	-	-	-	-
05-06	Plant Platforms, Screening & Access	-	-	-	-	-		-	-	-	-	-	-
05-07	External Walls & Exterior Finishes	47,537.47	-	47,537.47	-	-		-	-	-	-	-	-
05-08	External Windows & Doors	-	-	-	-	-		-	-	-	-	-	-
05-09	BWIC with Services	-	-	-	-	-		-	-	-	-	-	-
05-10	Concrete set downs, wear slabs,	-	-	-	-	-		-	-	-	-	-	-
05-11	Building Other	-	-	-	-	-		-	-	-	-	-	-
	Cold Shell Total	1,655,500.60	5,238.02	1,655,500.60	-	5,238.02		5,238.02	-	-	-	-	-
06-01	Lifts, Escalators and Travelators	-	-	-	-	-		-	-	-	-	-	-
06-02	Internal Partitions & Doors	88,344.00	-	-	70,000.00	-		-	18,344.00	-	-	-	-
06-03	Internal Wall Finishes	25,000.00	-	-	25,000.00	-		-	-	-	-	-	-
06-04	Internal Wall Protection	-	-	-	-	-		-	-	-	-	-	-
06-05	External Lighting	-	-	-	-	-		-	-	-	-	-	-
06-06	Internal Lighting	-	-	-	-	-		-	-	-	-	-	-
06-07	Generator	-	-	-	-	-		-	-	-	-	-	-
06-08	Transformer	-	-	-	-	-		-	-	-	-	-	-
06-09	CCTV	-	-	-	-	-		-	-	-	-	-	-
06-10	AV System	-	-	-	-	-		-	-	-	-	-	-
06-11	PA System	-	-	-	-	-		-	-	-	-	-	-
06-12	Phone & Data Cabling	-	-	-	-	-		-	-	-	-	-	-
06-13	Security System	-	-	-	-	-		-	-	-	-	-	-
06-14	Ceiling Finishes	68,026.70	-	-	-	-		-	68,026.70	-	-	-	-
06-15	Floor Finishes	-	-	-	-	-		-	-	-	-	-	-
06-16	Specialist Floor Finishes	-	-	-	-	-		-	-	-	-	-	-
06-17	Power	40,000.00	-	-	40,000.00	-		-	-	-	-	-	-
06-18	Plumbing and Gas Fitting	-	-	-	-	-		-	-	-	-	-	-
06-19	HVAC	14,298.00	-	14,298.00	-	-		-	-	-	-	-	-
06-20	Fire Protection	200,000.00	-	200,000.00	-	-		-	-	-	-	-	-
06-21	Signage	-	-	-	-	-		-	-	-	-	-	-
06-22	Refrigeration Plant & Installation	-	-	-	-	-		-	-	-	-	-	-
06-23	Timber joinery	-	-	-	-	-		-	-	-	-	-	-
06-24	Metalwork	-	-	-	-	-		-	-	-	-	-	-
06-25	Solar Panel	-	-	-	-	-		-	-	-	-	-	-
06-26	Building Fit-out other	-	-	-	-	-		-	-	-	-	-	-
	Warm Shell Total	435,668.70	-	214,298.00	135,000.00	-		-	86,370.70	-	-	-	-
	Sub-Total (Siteworks + Building Works)	2,552,320.00	20,691.89	2,308,449.30	150,000.00	20,691.89		20,691.89	93,870.70	-	-	-	-
08-01	Preliminary & General	1,370,172.92	41,645.50	1,363,882.92	-	41,488.25		41,488.25	6,290.00	-	157.25		157.25
08-02	Margin	250,000.00	6,250.00	243,800.00	-	6,095.00		6,095.00	6,200.00	-	155.00		155.00
09-01	Contingency	-	-	-	-	-		-	-	-	-	-	-
	P&G, Margin and Contingency	1,620,172.92	47,895.50	1,607,682.92	-	47,583.25		47,583.25	12,490.00	-	312.25	-	312.25
	Sub-Total (Siteworks + Building Works)	4,172,492.92	68,587.39	3,916,132.22	150,000.00	68,275.14		68,275.14	106,360.70	-	312.25	-	312.25
	Retentions		(6,858.74)			(6,683.90)		(6,683.90)			(174.84)		(174.84)

PAYMENT RECOMMENDATION - SAP RECONCILLIATION

WBS	Description	Contract	Cumulative Recommended (LL + OP)	Contract Works (LL)	Contract Provisional Sum's (LL)	Total Recommended (LL)	Paid to Date (LL)	Recommended this Claim (LL)	Contract (OP)	Contract Provisional Sum's (OP)	Total Recommended (OP)	Paid to Date (OP)	Recommended this Claim (OP)
	Total	4,172,492.92	61,728.65	3,916,132.22	150,000.00	61,591.24	-	61,591.24	106,360.70	-	137.41	-	137.41